

percent. Far more importantly, their effective tax rate, the percent of tax they actually pay, decreases from 15.2 to 10.2 percent. This translates to a tax savings of over \$10,000 in a single year. Let's break it down again.

Earned Income	Income Tax Rate	Income Tax Owed
\$45,000	0% (Tax Deferred Saving)	\$0
\$24,400	0% (Standard Deduction)	\$0
\$19,400	10%	\$1,940
\$59,550	12%	\$7,146
\$51,650	22%	\$11,363
\$200,000 (Total Income)	Effective Rate =10.2%	\$20,449 (total)

If you spend every dollar you earn, you lose the ability to defer taxation of income and control when and at what rate it is taxed. Developing a high savings rate works greatly to your advantage when tax planning. This is a great incentive to lower your cost of living and develop a high savings rate (see Chapter 4). Lower expenses give you greater flexibility to leverage tremendous tax savings, speeding your time to FI.

Tax-deferred retirement accounts and HSAs offer a rare opportunity to get a break on taxes. Take advantage of it. In addition to the stated tax advantages, using your 401(k) or other work-related retirement accounts have several other advantages. A big one is that many employers will match a percentage of your contribution. This is